

Deep Assessment Report

Tokenized Fine-Art Ownership Structure — Cayman Islands

A case-specific assessment report for tokenization viability and value creation.

September 22, 2026

A TVAC assessment by Astoval

CLARITY
BEFORE
COMMITMENT.

About this report

TVAC evaluates whether tokenizing a specific asset / structure creates net added value, using the five-factor model:

$$\text{Added Value} = (\text{New Opportunities (NO)} + \text{Cost Savings (CS)} + \text{Risk Reduction (RR)}) - (\text{Tokenization Costs (TC)} + \text{New Risks (NR)})$$

Where this report fits

TVAC is designed for the very early decision stage of a tokenization initiative. It tests whether the proposed use of tokenization appears likely to create genuine added value before significant resources are committed to legal structuring, issuance-platform or provider selection, detailed technical architecture, or implementation. A positive verdict is therefore not implementation approval; it indicates that the case may justify deeper legal, commercial, technical and operational work.

Case description summary

The proposed structure plans to acquire a portfolio of fine art pieces and offer fractional ownership to a global retail audience through NFTs. Tokens may represent a mixture of contractual claims, informal profit-sharing promises, and membership rights tied to an offshore holding entity. Marketing would be conducted via social media campaigns, and participation would be open to anyone able to connect a self-custody wallet. The business thesis relies on global retail demand, social momentum, and perceived liquidity from DEX trading.

The full user-supplied case description and structured input record are reproduced in Appendix E.

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Methodology	TVAC — Tokenization Value-Add Calculator
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01 | Executive summary

TOKENIZATION VALUE VERDICT

Non-viable

ADDED VALUE

-14.00

plus 4.00 minus 18.00

Headline: Under the current structure, this case should not proceed. The assessment lands at Non-viable with an estimated Net Added Value of -14.00 (Plus: 4.00 · Minus: 18.00).

Important interpretation note: This verdict concerns tokenization added value only. A Viable or Conditional Go verdict does not mean that the underlying asset is a good investment, that projected returns are realistic, that credit risk is acceptable, or that the instrument is suitable for any investor.

Case design stage: Structured Concept

This assessment is based on a partially defined design. The case is sufficiently clear for a meaningful case-specific evaluation, but several structural choices remain open.

Open design areas: offering / disclosure route; Investor demand or distribution commitment remains unproven; Underlying asset valuation or appraisal requires updating

1.1 What is different about this case

What is different about this case is that several weak design choices reinforce each other rather than standing alone. Ambiguous rights, retail-facing scope, self-custody, and DEX-style liquidity do not create separate manageable issues; together they create a structurally fragile model with weak investor protection and no validated compliance pathway under the current design.

Note on omitted sections: Scenario, what-if, and roadmap sections are intentionally omitted for Non-viable cases, because they assume a realistic basis for progression that is not present under the current design.

KEY TAKEAWAYS

- 01 Key findings:** Fractional NFTs could broaden access to fine art beyond a traditional high-net-worth collector base, which is the main positive opportunity visible in the case. Across New Opportunities, Cost Savings and Risk Reduction, the combined Plus score is 4.00.
- 02 Key constraints:** The case itself identifies unclear investor protection, cross-border securities-law exposure, valuation disputes, provenance challenges, market manipulation, and enforcement uncertainty; together these create an extreme new-risk profile. Across Tokenization Costs and New Risks, the combined Minus score is 18.00. A case-specific blocker is already visible: Retail scope combined with current complexity/risk profile is not viable without a strong compliance + distribution plan.
- 03 Decision posture:** Do not move into implementation or distribution under the current concept. Reconsider only after material redesign of rights mapping, investor scope, compliance controls, custody/settlement design, or other core structural assumptions. One key stop threshold already visible in this case is: If legal enforceability / rights mapping cannot be made explicit and enforceable, stop or re-structure
- 04 Impact:** Incremental optimisation is unlikely to change the outcome on its own. The current upside is too weak to absorb the legal, compliance, structuring, and operating burdens implied by the design as described.

02 | Asset class & market context

The proposed structure plans to acquire a portfolio of fine art pieces and offer fractional ownership to a global retail audience through NFTs. The legal structure is not fully defined. The relevant comparison is whether the proposed tokenized structure improves the stated conventional process or financing structure after added implementation cost, operating complexity and new risks are taken into account.

Current market phase: Case-derived structural context only; external market maturity is not assessed from verified market sources for this case.

What this context means for the case

Against this market backdrop, the points below show which features of the proposed structure support the value case and which still constrain it.

Structural factors supporting the case:

- Fractional NFTs could broaden access to fine art beyond a traditional high-net-worth collector base, which is the main positive opportunity visible in the case.
- Atomic on-chain settlement may reduce some token-transfer friction at the technical layer, but the case does not show that it reduces the more material risks around rights enforceability, provenance, valuation, or investor protection.

Structural factors that still constrain the case:

- The case itself identifies unclear investor protection, cross-border securities-law exposure, valuation disputes, provenance challenges, market manipulation, and enforcement uncertainty; together these create an extreme new-risk profile.
- The proposed model combines a Cayman Islands issuance structure with retail sales into the United States, United Kingdom, European Union, and Singapore, which creates a heavy scoping and operating burden even before implementation details are finalized.
- The multi-jurisdiction sale scope increases the need to separate common design logic from local distribution, investor-category, marketing and transfer requirements.
- Any claimed settlement or automation benefit remains dependent on a workable cash leg, finality, exception handling and reconciliation across the selected infrastructure.

No live market data or unverified model memory was used for this market-context section. Where no verified market source is activated, current adoption, prevailing practice and market phase remain unassessed.

03 | Analysis result

ADDED VALUE

-14.00

PLUS

4.00

MINUS

18.00

Verdict rationale:

This case is assessed as Non-viable because the current structure produces an Added Value of -14.00: the strongest supportive driver is New Opportunities (3/10), while the main friction is New Risks (10/10). Fractional NFTs could broaden access to fine art beyond a traditional high-net-worth collector base, which is the main positive opportunity visible in the case. The case itself identifies unclear investor protection, cross-border securities-law exposure, valuation disputes, provenance challenges, market manipulation, and enforcement uncertainty; together these create an extreme new-risk profile. Tokenization Costs is also material: The proposed model combines a Cayman Islands issuance structure with retail sales into the United States, United Kingdom, European Union, and Singapore, which creates a heavy scoping and operating burden even before implementation details are finalized. This rationale concerns tokenization added value only and does not validate legal, regulatory, tax, financial, investment, credit, yield, issuer, or implementation suitability.

Factor score profile

Factor	Score	Case-specific driver
New Opportunities	3/10	Fractional NFTs could broaden access to fine art beyond a traditional high-net-worth collector base, which is the main positive opportunity visible in the case.
Cost Savings	0/10	No validated conventional baseline was supplied showing that this structure would cost less than a conventional art vehicle, syndicate, or contractual participation model.
Risk Reduction	1/10	Atomic on-chain settlement may reduce some token-transfer friction at the technical layer, but the case does not show that it reduces the more material risks around rights enforceability, provenance, valuation, or investor protection.
Tokenization Costs	8/10	The proposed model combines a Cayman Islands issuance structure with retail sales into the United States, United Kingdom, European Union, and Singapore, which creates a heavy scoping and operating burden even before implementation details are finalized.
New Risks	10/10	The case itself identifies unclear investor protection, cross-border securities-law exposure, valuation disputes, provenance challenges, market manipulation, and enforcement uncertainty; together these create an extreme new-risk profile.

Added Value: -14.00 (plus 4.00 / minus 18.00)

What still needs to be verified:

These are the main points that should be independently confirmed before moving from concept toward implementation.

- No verified jurisdiction-specific claim or approved local baseline is available; local regulatory application remains unresolved.
- Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.
- Document and validate the relationship between the token, legal title or contractual rights, custody and storage, insurance, provenance, valuation or appraisal, and the allocation of sale or distribution proceeds.

Regulatory status: General (no verified local references) · Case-specific applicability unverified

TVAC has identified relevant regulatory context for the stated issuance jurisdiction and case-specific legal questions, but it has not verified how the law applies to the final structure. Final legal treatment should therefore be confirmed by qualified local counsel before implementation.

Sources used and outstanding validation questions are summarized in Appendix A.5.

The score becomes useful only when the structure behind it is coherent. The sections below test the value pathways, participant or investor perimeter, operating burden, regulatory path, custody and transfer fit, and—where material—the settlement and cash-leg design that must support the claimed benefits.

3.1 Value pathways

This section isolates the mechanisms through which tokenization could create incremental value over a realistic conventional alternative. It is not an assessment of whether the underlying asset or financing need is attractive in its own right.

- The main tokenization thesis is broader access: fractional NFTs could expose a fine art portfolio to a wider retail audience than a conventional art syndicate or private vehicle.
- That opportunity is only weakly anchored in the current concept because the user states that token rights may mix contractual claims, informal profit-sharing promises, and membership rights tied to an offshore holding entity.
- Continuous on-chain trading is presented as a value driver, but the case itself describes liquidity as perceived rather than contractually or operationally anchored, so the liquidity thesis remains assumption-heavy.
- For fine art, value creation depends not only on transferability of tokens but also on enforceable linkage to artwork ownership, provenance, valuation, sale proceeds, and governance; those linkages remain structurally ambiguous in the current design.

3.2 Investor segmentation

Investor scope affects both upside and friction. A narrower professional or institutional audience can reduce distribution and compliance complexity, but it can also limit the access or liquidity benefit that tokenization is expected to create.

- The target audience is global retail, not professional or investors described by the user as accredited or qualified, subject to local legal classification, and participation is intended to be open to anyone able to connect a self-custody wallet.
- Retail scope matters materially here because the case does not state a disclosure package, onboarding controls, suitability checks, or transfer restrictions that would help align distribution with jurisdictional assumptions.
- The current concept does not segment investors by jurisdiction, knowledge, or risk tolerance even though the sales jurisdictions span the United States, United Kingdom, European Union, and Singapore.
- For fine art exposure with ambiguous rights and valuation complexity, broad unscreened retail access increases the burden on disclosure, complaint handling, and clarity of legal rights rather than reducing it.

3.3 Operational costs

This section distinguishes plausible process savings from the additional cost of introducing the token layer. A saving becomes a strong value driver only when it can be compared with the current process and is not offset by data, integration, provider or compliance work.

- The design may appear digitally lightweight, but the operational burden is heavy because the project still needs artwork sourcing, storage, provenance work, valuation governance, insurance, and exit execution.
- Cross-border retail access, offshore holding-entity structuring, continuous venue monitoring, tax analysis, and multi-jurisdiction compliance scoping are likely to remain major cost categories even though exact amounts were not stated.
- Self-custody and DEX trading do not remove the need for dispute handling, investor communications, and record reconciliation between token movements and off-chain artwork events.
- No validated conventional-alternative baseline was supplied, so TVAC cannot evidence cost superiority over a more conventional fine art fund, syndicate, or membership structure.

3.4 Regulatory path

This is regulatory scoping, not a legal opinion. The purpose is to identify the verified regulatory context and the design questions that materially affect the case, while making clear what still requires qualified jurisdiction-specific validation.

- No approved local baseline is available for General (no verified local references). TVAC therefore provides structured regulatory scoping derived from the stated case without naming or applying unverified local rules.
- Determine the legal and economic character of the token, the underlying asset or claim, the issuer or wrapper and the rights granted to holders; tokenization does not itself determine classification.
- Distinguish capital raising and investor distribution from a closed operational workflow. The relevant offering, marketing, eligibility and disclosure questions depend on what is actually offered, to whom, where and through which communications and intermediaries.
- Map the functions performed by the issuer, platform, onboarding provider, custodian, registry or recordkeeper, transfer operator, venue, payment provider and other service providers. Technology labels do not determine regulated roles.
- Confirm which record is legally authoritative, how transfers become effective, how asset and cash legs reach finality, how exceptions are handled and how

rights remain enforceable if a provider or technical component fails.

- For cross-border cases, validate the issuance jurisdiction, every target or sale jurisdiction, investor categories, marketing perimeter, data handling, tax treatment and payment or foreign-exchange implications separately.
- United States: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- United States — baseline scoping: At scoping level, a token representing debt, equity, fund interests or another investment exposure should be analysed under the U.S. federal securities-law framework. Tokenization does not itself determine the instrument's legal classification.
- United States — baseline scoping: Broker-dealer, alternative trading system, transfer-agent, custody and recordkeeping questions may arise according to the functions actually performed, the instrument classification and the proposed secondary-transfer model. A technology label does not decide those roles.
- United States — baseline scoping: Regulation S is a U.S. framework for specified offshore offers and sales. Its possible relevance depends on the actual offer, sale, investor, communications and distribution facts; the interface label or a non-U.S. sale jurisdiction does not establish compliance.
- United Kingdom: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- United Kingdom — baseline scoping: Approved baseline context identifies the following potentially relevant frameworks or regimes for scoping in United Kingdom: Financial Services and Markets Act (FSMA); Financial promotion rules / regime; AML regime (UK); UK GDPR / Data protection regime. Their case-specific applicability, current conditions and interaction must be independently confirmed.
- United Kingdom — baseline scoping: Marketing/financial promotions can be a primary constraint; ensure compliant pathways for target audiences.
- United Kingdom — baseline scoping: Token classification and whether it constitutes a regulated investment is central to design feasibility.
- European Union: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It

does not determine local applicability or compliance.

- European Union — baseline scoping: EU scoping should first distinguish a token that is a financial instrument or other regulated financial product from a crypto-asset governed by MiCA. MiCA does not replace the EU financial-services framework for instruments already covered by that framework, and tokenization does not itself determine classification.
- European Union — baseline scoping: Where the token represents a transferable security or another financial instrument, MiFID II, the Prospectus Regulation and related national rules may shape distribution, investor access, intermediary roles and disclosure. The final facts determine which requirements or exemptions are relevant.
- European Union — baseline scoping: The DLT Pilot Regime provides an EU framework for specified DLT market infrastructures, while MiFID II, CSDR and national implementation remain relevant to trading, settlement, custody, recordkeeping and market-infrastructure functions according to the final design.
- Singapore: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- Singapore — baseline scoping: Approved baseline context identifies the following potentially relevant frameworks or regimes for scoping in Singapore: Securities and Futures Act (high-level reference only); Payment Services Act (high-level reference only). Their case-specific applicability, current conditions and interaction must be independently confirmed.
- Singapore — baseline scoping: Hub jurisdictions may still be constrained primarily by sale jurisdictions and distribution posture.
- Singapore — baseline scoping: Institutional custody expectations and control environment may be central for adoption.

3.5 Custody & venue fit

Custody and venue design should be proportionate to the value thesis. If the case does not depend on continuous secondary trading, extra custody, venue or transfer complexity should be justified by a concrete operational, control or distribution benefit.

- Self-custody may fit purely digital bearer-like assets better than fine art claims whose value depends on off-chain ownership, provenance, and disposal rights; the fit is weak here.

- A DEX can move the token continuously, but that does not confirm venue suitability for a globally marketed retail investment product linked to physical artworks.
- The current design assumes that open transferability is a benefit, yet for this case open transferability is also a source of perimeter, investor-protection, and market-integrity risk.
- Because no transfer restrictions are stated, the venue model is not aligned with a controlled phased launch or with conservative jurisdiction scoping.

3.6 Settlement & Cash-Leg Readiness

Settlement is assessed against the case's actual value logic, not against an assumption that tokenization requires digital money or T+0. The key question is whether the cash leg can operate reliably for the intended investors and operating model without unnecessary complexity.

- The cash leg is not assessed as a standalone gate. TVAC evaluates whether the proposed payment and settlement model is proportionate to the value proposition claimed by the case.
- Here the cash leg is highly important because the concept explicitly relies on T+0 atomic settlement, continuous DEX trading, and perceived liquidity as core value drivers.
- Those settlement claims remain commercially and legally constrained by unresolved rights mapping, unclear investor-protection architecture, and the absence of stated transfer controls; atomic settlement of the token does not solve the harder off-chain art ownership and claims questions.

04 | Stakeholder value & alignment

This chapter asks whether the parties needed to make the structure work are economically and operationally aligned. It focuses on the value each party receives, the burden and responsibility it carries, and the dependencies that could weaken the project's overall Added Value.

4.1 Value & alignment overview

This view does not re-score the five TVAC factors for each party. It shows instead what each stakeholder stands to gain, what burden or responsibility it carries, and what must be aligned for the project value case to hold.

Asset owner / Issuer (sponsor, manager) Typically captures strategic upside, but often carries most upfront cost and execution risk. Value received Any theoretical upside depends on enforceable rights, compliant distribution, and a credible investor-protection model; without those, token-native reach alone is not meaningful value creation. Cost, risk & responsibility Cross-border compliance complexity across Cayman Islands (issuance) + United States, United Kingdom, EU, Singapore (sales) (marketing rules, investor eligibility, reporting). Alignment test Lock the operating model: rights (term sheet), custody setup, venue path, cash-flow/distribution mechanics, and transfer rules.	Investors Capture access/liquidity value if rights are enforceable and the operating model is credible. Value received Any investor-side value depends first on legally validated rights, compliant distribution, and effective investor protections; without those, retail access and token-native transferability are not meaningful benefits. Cost, risk & responsibility Higher friction: eligibility checks, disclosures (KID/Prospectus or exemptions), and suitability constraints. Alignment test Do not rely on a generic exit story: demand a legally defensible account of rights, venue, transfer restrictions, and whether any compliant liquidity path exists at all.	Infrastructure providers Platforms, custodians, transfer agents, venues, and settlement/payment partners. Value received Any infrastructure value depends first on compliance, rights clarity, and controlled investor protection; token-native trading rails alone do not create durable value in this setup. Cost, risk & responsibility Integration and operational complexity (reconciliations, reporting, corporate actions, incident response) often scales faster than expected. Alignment test Define interfaces and responsibilities early (RACI): who owns KYC/AML, whitelists, transfers, reconciliations, and reporting.
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4.2 Asset owner / Issuer (sponsor, manager)

Value received

- Any theoretical upside depends on enforceable rights, compliant distribution, and a credible investor-protection model; without those, token-native reach alone is not meaningful value creation.
- If tokenization demonstrably unlocks capital, financing flexibility or terms that are not realistically available through bank debt, a club deal or a conventional private placement, the initiator's economics can change materially after successful capital formation.

Costs, risks & responsibilities

- Cross-border compliance complexity across Cayman Islands (issuance) + United States, United Kingdom, EU, Singapore (sales) (marketing rules, investor eligibility, reporting).
- Additional investor-protection obligations and operational burden (suitability, disclosures, complaints handling).

Alignment & actions

- Lock the operating model: rights (term sheet), custody setup, venue path, cash-flow/distribution mechanics, and transfer rules.
- Resolve the highest-priority evidence gaps identified in the report before spending further on build or integration.
- Do not assume token-native liquidity solves the case: define whether any compliant exit path exists at all, and stop if rights, custody, and investor-protection architecture remain weak.
- Define a financing-evidence plan: compare target amount, timing, investor access, financing terms and full costs against the realistic conventional alternative before treating tokenization value as proven.

4.3 Investors

Value received

- Any investor-side value depends first on legally validated rights, compliant distribution, and effective investor protections; without those, retail access and token-native transferability are not meaningful benefits.

Costs, risks & responsibilities

- Higher friction: eligibility checks, disclosures (KID/Prospectus or exemptions), and suitability constraints.
- Cross-border compliance can reduce distribution breadth and may introduce withholding/reporting complexity.

Alignment & actions

- Do not rely on a generic exit story: demand a legally defensible account of rights, venue, transfer restrictions, and whether any compliant liquidity path exists at all.
- Verify the custody and control model in operational detail: wallet and key-recovery risks, authority over transfers, evidence of beneficial ownership, incident handling, and the legal relationship between token records and the underlying artwork.
- Clarify the full economics: artwork acquisition, storage, insurance, appraisal and provenance work, platform and venue fees, legal and disclosure costs, distributions, resale proceeds and dispute handling.

4.4 Infrastructure providers

Value received

- Any infrastructure value depends first on compliance, rights clarity, and controlled investor protection; token-native trading rails alone do not create durable value in this setup.
- Settlement innovation can be a differentiator if the cash leg is compliant and operationally robust.

Costs, risks & responsibilities

- Integration and operational complexity (reconciliations, reporting, corporate actions, incident response) often scales faster than expected.
- Regulatory perimeter and liability exposure can increase with cross-border sales, investor-scope expansion, and more complex distribution structures.
- T+0/atomic settlement increases error-cost: reversals are harder, controls must be tighter.

Alignment & actions

- Define interfaces and responsibilities early (RACI): who owns KYC/AML, whitelists, transfers, reconciliations, and reporting.
- Agree evidence expectations: SOC reports, audit trails, code audits, incident runbooks, and SLA/exit clauses.
- Align commercial terms with actual delivery responsibilities and evidenced outcomes; avoid adding a token layer without measurable operational or commercial value.

4.5 Who bears the costs and risks?

In a capital-formation case, the issuer may carry substantial structuring, legal, compliance and distribution costs before funding is secured. That is a pre-funding economic position, not necessarily the final outcome. The relevant question is whether tokenization demonstrably produces incremental capital access, financing flexibility or terms that outweigh the added stack relative to a realistic conventional alternative.

- A materially negative pre-funding issuer position should trigger a demand, terms and cost-allocation review, not an automatic conclusion that tokenization can never work. It becomes a warning sign if investor demand remains uncommitted, the same capital could reasonably be raised conventionally on similar terms, or provider fees absorb the incremental financing benefit.
- If investor net position is low or negative, expect weak demand unless enforceability, disclosures, custody, and realistic exit paths are improved.

05 | Factor breakdown – detailed explanation

This chapter explains the causal basis of the five scores: which facts, assumptions and evidence gaps create upside, and which ones introduce additional friction. The three positive factors ask what tokenization adds relative to a realistic conventional alternative; the two negative factors ask what extra cost or risk the token layer introduces. A low positive score therefore means limited or weakly evidenced tokenization benefit, while a low negative score means limited additional friction. The scores are calibrated methodology judgments, not measured outcomes or legal conclusions.

$$\text{Added Value} = (\text{New Opportunities} + \text{Cost Savings} + \text{Risk Reduction}) - (\text{Tokenization Costs} + \text{New Risks})$$

Overall, the current design is structurally negative: tokenization introduces more cost and risk than it creates in durable upside, so this case should be treated as Non-viable unless the core structure is materially redesigned. With an Added Value score of -14, this is not a narrow decision-range case. The gap is large enough that incremental tuning is unlikely to restore viability on its own. Net Added Value is primarily driven by new opportunities at 3/10 on the upside, and constrained mainly by new risks at 10/10 on the friction side.

New opportunities (NO)

- Fractional NFTs could broaden access to fine art beyond a traditional high-net-worth collector base, which is the main positive opportunity visible in the case.
- That opportunity is weakened because the token is described as a mixed bundle of possible claims rather than one clearly documented right linked to the artwork portfolio.
- The liquidity thesis depends on social momentum and continuous DEX trading, but the case does not state a controlled venue pathway, committed liquidity support, or transfer architecture that would make that opportunity dependable.

Cost savings (CS)

- No validated conventional baseline was supplied showing that this structure would cost less than a conventional art vehicle, syndicate, or contractual participation model.
- For fine art, core cost drivers such as provenance work, storage, valuation, insurance, and disposal remain off-chain and are not removed by NFT issuance.
- Global retail distribution, offshore structuring, and continuous trading oversight may add more burden than the token layer removes.

Risk reduction (RR)

- Atomic on-chain settlement may reduce some token-transfer friction at the technical layer, but the case does not show that it reduces the more material risks around rights enforceability, provenance, valuation, or investor protection.

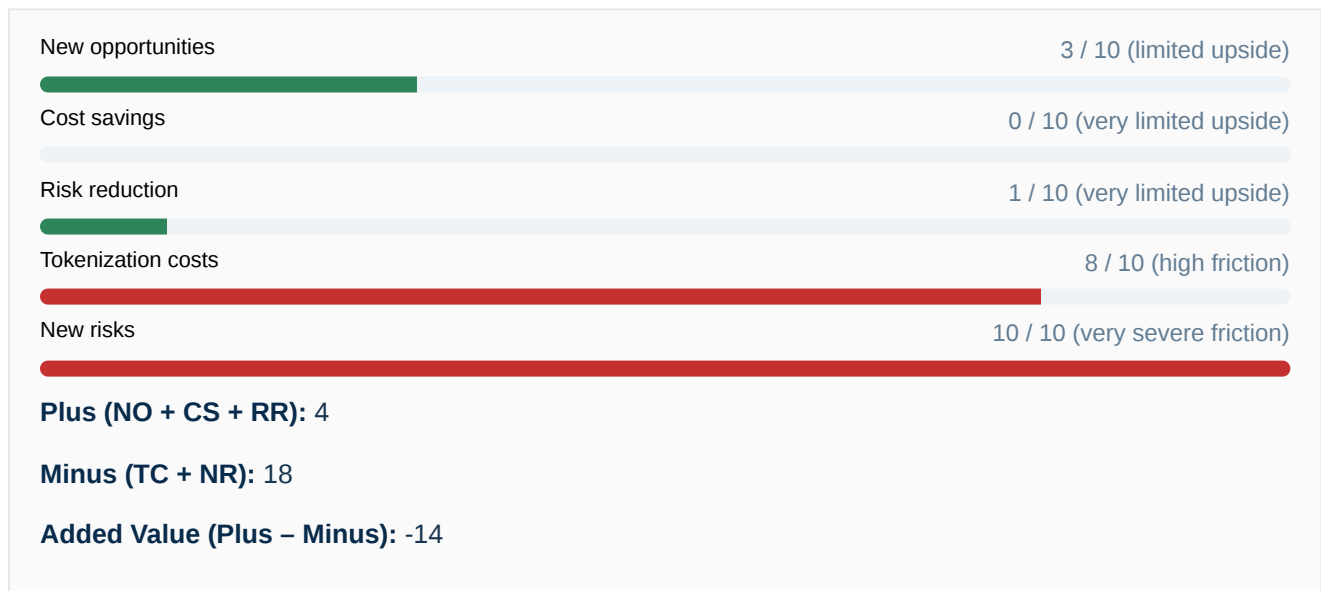
- Self-custody and unrestricted DEX transfers do not evidence stronger control over distribution, complaints, or sanctions-sensitive movement.
- Because the legal and economic alignment between token holders and the underlying artworks is described as structurally ambiguous, tokenization does not deliver meaningful supported risk reduction in the current form.

Tokenization costs (TC)

- The proposed model combines a Cayman Islands issuance structure with retail sales into the United States, United Kingdom, European Union, and Singapore, which creates a heavy scoping and operating burden even before implementation details are finalized.
- The project still needs art-specific operational infrastructure plus token-specific platform, governance, monitoring, and disclosure work.
- Continuous DEX trading, self-custody support boundaries, and multi-jurisdiction investor handling are likely to remain expensive to design and manage even though exact amounts were not stated.

New risks (NR)

- The case itself identifies unclear investor protection, cross-border securities-law exposure, valuation disputes, provenance challenges, market manipulation, and enforcement uncertainty; together these create an extreme new-risk profile.
- The rights architecture is not just incomplete but internally mixed, which raises the chance that token holders misunderstand what they own and how proceeds or governance would work.
- Retail social-media marketing, no formal disclosure document, open wallet access, and unrestricted DEX transfers create a direct pathway to investor harm if the structure is challenged or misunderstood.



What could change this verdict

These are the highest-impact conditions that could materially strengthen or weaken the current assessment. They are practical decision gates, not predictions.

- Distribution scope and investor segmentation (jurisdiction count, retail vs professional posture)
- Rights mapping and structural clarity (asset/SPV structure, cash-flow logic, investor protections)
- Custody / controls / transfer restrictions (institutional-grade requirements vs complexity)
- Liquidity assumptions (timing, venue feasibility, realistic market depth)
- Payment / cash-leg readiness where the case depends on DvP, digital cash, 24/7 settlement, collateral mobility or automated lifecycle payments
- Tokenization cost profile (legal/compliance/ops overhead and non-scalable components)

06 | Key risks & mitigation

This matrix prioritizes the report's identified risks by impact and likelihood. It is not a measured probability model; each position should be read together with the case-specific description and mitigation.

	1 Rare	2 Unlikely	3 Possible	4 Likely	5 Almost certain
5 High				R4 R6	R2 R3 R7
4 Med-high			R1	R5 R8 R9	
3 Medium					
2 Med-low					
1 Low					

LIKELIHOOD →

Risk zones are indicative prioritization bands, not measured probabilities.

PRIORITY RISKS

R1 Misaligned incentives / vendor-capture risk

Impact 4 · Likelihood 3

Mitigation: Use stage-gating and milestones (legal opinions + demand validation) before committing; negotiate fee structures with meaningful success-based components; ensure portability/exit clauses if the platform/venue changes strategy.

R2 Cross-border retail distribution exposure

Impact 5 · Likelihood 5

Mitigation: Obtain jurisdiction-specific scoping and document a controlled distribution perimeter before launch

R3 Rights-to-artwork misalignment

Impact 5 · Likelihood 5

Mitigation: Define one clear rights package and map it to authoritative ownership, proceeds, and governance records

R4 Provenance and authenticity dispute

Impact 5 · Likelihood 4

Mitigation: Document provenance standards, verification process, custody chain, and dispute escalation for each artwork

R5 Valuation dispute and price dislocation

Impact 4 · Likelihood 4

Mitigation: Publish a valuation policy, revaluation cadence, and investor communication process for material changes

R6 Market manipulation and false liquidity signals

Impact 5 · Likelihood 4

Mitigation: Validate surveillance, market-integrity controls, and realistic liquidity support assumptions before relying on DEX trading

R7 Retail investor harm from weak disclosure

Impact 5 · Likelihood 5

Mitigation: Prepare formal risk disclosure and align marketing claims with the actual rights and controls

R8 Self-custody loss and recovery failure

Impact 4 · Likelihood 4

Mitigation: Define wallet-risk disclosures, support boundaries, and recovery or loss-allocation policy where feasible

R9 Cross-border tax mismatch

Impact 4 · Likelihood 4

Mitigation: Obtain written tax scoping for holding entity, artwork proceeds, investor reporting, and withholding points

07 | Recommendations & next steps

Case-specific focus: This recommendation set assumes a Cayman Islands-led structure aimed at retail investors. Primary structural issue: The final classification, rights mapping, offering structure, investor eligibility, marketing perimeter, ownership record, transfer controls and servicing responsibilities require qualified jurisdiction-specific validation.

7.1 Design priorities and decision gates

Design stage: Structured Concept. Recommendations below focus on the highest-impact unresolved design and evidence gates.

The current assessment does not indicate a workable tokenization case under the present structure (NO 3, CS 0, RR 1 vs. TC 8, NR 10). In this case, a cross-border setup (4 sale jurisdictions (United States, United Kingdom, EU, Singapore)) and retail eligibility and investor-protection requirements materially amplify downside, while the available upside is too weak or too conditional to carry the legal, compliance, custody, and operating burden. The points below should therefore be read as redesign requirements or reasons to stop under the current concept — not as routine optimisation levers.

Primary redesign requirements

The priorities below are selected from the largest score drag and the unresolved evidence or operating-model gates in this case.

7.1.1 Treat Distribution and Liquidity as a Design Requirement, Not an Assumption

because the liquidity pathway is currently uncommitted and increases execution risk.

In this case specifically: Open-ended liquidity claims are part of the structural problem rather than part of the solution.

Compared with a conventional alternative: Compared with a conventional ownership or fund structure, the tokenized version is weaker if it relies mainly on liquidity narrative rather than enforceable rights and compliant transfer mechanics.

- Remove open DEX-style liquidity from the initial concept; do not rely on unrestricted secondary trading as the core value proposition.
- If any transferability is retained, move to a tightly controlled, permissioned model with explicit investor eligibility, transfer restrictions, and a credible regulated-venue path.
- Do not market liquidity as 'continuous' or global; define realistic exit mechanics only after rights, compliance, custody, and investor-protection architecture are legally anchored.

Redesign implication: if demand and liquidity remain aspirational rather than committed, the current concept should not proceed.

7.1.2 Simplify Jurisdictional and Investor Scope in the Initial Phase

because retail scope typically multiplies compliance and operational load in phase 1.

In this case specifically: The combination of United States, United Kingdom, EU, Singapore and the chosen investor scope increases execution burden in the first phase.

Compared with a conventional alternative: Compared with a conventional launch path, the tokenized structure is more sensitive to early scope creep across jurisdictions and investor categories, so phase-one restraint matters more here.

- Remove retail participation from the initial concept and re-scope to a small set of professional and/or accredited investors only, if the project is pursued at all.
- Collapse the initial jurisdiction footprint (currently 4 sale jurisdictions (United States, United Kingdom, EU, Singapore)) to a single core market until legal rights, custody, disclosure, and transfer controls are defensible.
- Do not attempt broad cross-border distribution until the structure has been rebuilt around enforceable rights, compliant onboarding, and realistic investor-protection mechanics.

Redesign implication: unless scope is materially narrowed, the legal and operational burden is likely to remain too high for the current value case.

7.1.3 Rebalance Cost and Risk Allocation Away from the Asset Owner

because Tokenization Costs are currently a dominant downside driver.

In this case specifically: The proposed issuance is anchored in Cayman Islands with distribution into United States, United Kingdom, EU, Singapore; the Asset Owner therefore needs explicit control of cross-jurisdiction cost, responsibility and execution burden.

Compared with a conventional alternative: Compared with a conventional implementation path, tokenization only earns its place here if the added stack does not push too much fixed cost and execution burden back onto the Asset Owner.

- Do not commit to a platform, venue or public marketing programme until the legal rights, investor-protection model, custody of the artwork and permissible transfer pathway have been independently validated.
- Build a complete cost stack covering artwork acquisition, storage, insurance, appraisal and provenance work, legal and disclosure requirements, onboarding, transfer controls, platform operations and dispute handling.
- Use staged vendor commitments tied to completed rights mapping, custody and provenance controls, investor-protection design and operational evidence — not to token issuance or capital raised alone.

Redesign implication: unless cost and risk allocation is materially rebalanced, the current structure is unlikely to become economically rational for the Asset Owner.

7.1.4 Redesign implication under current structure

Do not treat the items above as a normal optimisation pathway. Under the current concept, tokenization should stop or be materially re-scoped unless the project is redesigned around enforceable rights, narrower investor and jurisdiction scope, credible compliance controls, and a realistic distribution/liquidity path. Incremental tuning alone is unlikely to restore viability.

In this case specifically: The project should not be reconsidered for launch unless legal rights, enforceability, custody, and investor protection are rebuilt from the ground up.

7.3 Redesign requirements / stop conditions

- **No verified jurisdiction-specific claim or approved local baseline is available; local regulatory application remains unresolved.**

A before-and-after baseline is needed to show whether tokenization actually improves the current process rather than merely changing the technology stack.

- **Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.**

The assessment can identify the legal question, but implementation should not proceed until the relevant rights, roles and legal effect are confirmed for the final structure.

- **Document and validate the relationship between the token, legal title or contractual rights, custody and storage, insurance, provenance, valuation or appraisal, and the allocation of sale or distribution proceeds.**

Staged commercial terms limit lock-in and keep provider economics tied to demonstrated operational value; audit, service-level, portability and exit rights preserve control if delivery underperforms.

- **Which legal classification applies to the final instrument and rights structure?**

The assessment can identify the legal question, but implementation should not proceed until the relevant rights, roles and legal effect are confirmed for the final structure.

- **Which offering, marketing and investor-eligibility rules apply in each jurisdiction?**

This turns an open assumption into evidence that can support the next decision gate.

Appendices

- Appendix A — Method & interpretation
- Appendix C — TVAC Provider Directory (illustrative)
- Appendix D — Glossary & abbreviations
- Appendix E — User-supplied case inputs
- Appendix F — Disclaimer

Appendix A — Method & interpretation

A.1 How to use this appendix

This appendix explains how to interpret the assessment, what evidence is still needed, and which conditions could strengthen or weaken the case. It is not a technical manual for TVAC.

A.2 What the assessment establishes — and what it does not

This report provides informational decision support only. It does not constitute legal, regulatory, tax, financial, or investment advice, and it does not provide a compliance determination, valuation, or provider endorsement.

Case snapshot (as stated)

- Issuance jurisdiction: Cayman Islands
- Sale jurisdictions / target markets: United States, United Kingdom, EU, Singapore
- Asset / instrument type (indicative): sole-record
- Liquidity intent (as stated): continuous
- Payment / cash-leg indication: T+0 or atomic DvP target
- Cash-leg dependency / readiness: Critical dependency / Selected / Unverified readiness

What the Tokenization Value Verdict means

- Viable: Tokenization added value is plausible under the stated assumptions, subject to normal verification and execution.
- Conditional Go: Tokenization added value is design-dependent. Proceeding without meeting the listed conditions materially increases execution risk.
- Non-viable: Under current assumptions, tokenization is unlikely to outperform a conventional structure on a risk-adjusted basis.

What TVAC did not assess

- No definitive legal, regulatory, tax, or investment conclusions
- No asset valuation, yield projections, or market-price forecasts
- No assurance of secondary-market liquidity or investor demand
- No operational readiness audit beyond the indicative checklist

A.3 Minimum evidence before the next major commitment

Before proceeding toward implementation, decision-makers should be able to substantiate a minimum level of evidence across the areas below. This checklist is not exhaustive and does not imply regulatory sufficiency. It reflects common governance expectations in institutional-grade projects.

Highest-priority gaps in this case

(derived from inputs/completeness)

1. No verified jurisdiction-specific claim or approved local baseline is available; local regulatory application remains unresolved.
2. Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.
3. Document and validate the relationship between the token, legal title or contractual rights, custody and storage, insurance, provenance, valuation or appraisal, and the allocation of sale or distribution proceeds.

Structural & economic foundations

- Clear description of the underlying asset and ownership structure
- Defined economic rights and cash-flow logic
- Draft term sheet or structural outline
- Clear rationale for tokenization vs alternatives

Regulatory & distribution posture

- Issuance jurisdiction clearly defined
- Explicit list of sale jurisdictions
- Documented investor type assumptions
- Initial regulatory scoping (high-level)

Token & control design

- High-level token design and rights mapping
- Transfer restriction and whitelist logic (conceptual)
- Corporate actions and investor reporting approach
- Governance for smart-contract or protocol changes (if relevant)

Infrastructure & counterparties

- Custody model (conceptual)
- Indicative partner shortlist (non-binding)
- Issuance, registry, and lifecycle approach
- Payment / cash-leg and settlement approach, proportionate to the case's actual value proposition
- Early assessment of secondary trading (if any)

Cost & operational realism

- High-level CAPEX and OPEX view
- Identification of major cost drivers
- Clear internal ownership of ongoing operations
- Understanding of scalable vs non-scalable costs Lack of clarity across several of these areas materially increases execution risk, even where the conceptual case appears attractive.

A.4 What could strengthen or weaken the case

- Upside driver: New opportunities (value depends on distribution and product/instrument design)
- Risk driver: New risks (most sensitive to regulatory interpretation, custody/ops complexity, and cross-border distribution)
- Cost driver: Tokenization costs (most sensitive to legal/compliance scope, integrations, and ongoing ops overhead)

High-impact decision levers (practical)

- Distribution scope: reduce jurisdictions and/or tighten investor segments to lower compliance and operational overhead.
- Liquidity posture: treat early secondary trading as optional; defer until structure and reporting are stable.
- Custody & controls: choose a control model that meets institutional requirements without over-engineering.
- Payment / cash-leg: clarify the settlement model only to the level required by the claimed value proposition; do not over-engineer it for low-dependency cases.
- Rights & governance: tighten rights mapping (cash flows, reporting, governance, transfer rules) to reduce friction and disputes.

How to use this

Do not treat the levers above as a routine optimisation checklist. Reassess only after the structural reasons for the Non-viable result have been materially changed and evidenced.

A.5 Evidence & source transparency

Basis of assessment

The assessment is based on the customer's case description and structured inputs, the fixed TVAC methodology, and any activated verified external sources. User-supplied operational and commercial claims have not been independently verified unless explicitly stated.

External sources used

- SEC — Exempt Offerings overview · U.S. Securities and Exchange Commission · checked 2026-07-15

- eCFR — Regulation S: offers and sales outside the United States · U.S. Securities and Exchange Commission / Electronic Code of Federal Regulations · checked 2026-07-15
- SEC — Guide to Broker-Dealer Registration · U.S. Securities and Exchange Commission · checked 2026-07-15
- SEC — Alternative Trading Systems · U.S. Securities and Exchange Commission · checked 2026-07-15
- SEC — Transfer Agents · U.S. Securities and Exchange Commission · checked 2026-07-15
- Directive 2014/65/EU on markets in financial instruments · European Union · checked 2026-07-15
- Regulation (EU) 2017/1129 — Prospectus Regulation · European Union · checked 2026-07-15
- Regulation (EU) 2023/1114 — Markets in Crypto-assets · European Union · checked 2026-07-15
- Regulation (EU) 2022/858 — DLT Pilot Regime · European Union · checked 2026-07-15
- Regulation (EU) No 909/2014 — Central Securities Depositories Regulation · European Union · checked 2026-07-15

What remains unverified

- Which legal classification applies to the final instrument and rights structure?
- Which offering, marketing and investor-eligibility rules apply in each jurisdiction?
- Which ownership, custody, registry, transfer, settlement, tax and reporting requirements apply?
- How is US-facing distribution scoped (investor type, channels, communications) and how is it enforced operationally?
- Which transfer restrictions and onboarding controls are needed to keep distribution posture consistent with assumptions?
- If secondary trading is planned, what is the feasible venue pathway for the target markets?
- How is UK-facing distribution scoped (investor type, channels, communications) and how is it enforced operationally?
- Which regulated roles (onboarding, custody, venue) are expected or preferred for the design?

Appendix C — TVAC Provider Directory (illustrative)

This appendix is an illustrative reference layer intended to help the reader think about which types of external partners may be relevant in a tokenization project.

It is not a recommendation list, procurement shortlist, or ranking. Inclusion or omission does not imply endorsement, criticism, quality judgment, regulatory approval, or case suitability. Any provider mentioned here must be assessed independently for legal fit, jurisdictional coverage, operating model fit, technical capability, conflicts, cost, and execution reliability. This appendix is non-exhaustive and subject to change.

B1. How to use this appendix

Use this appendix to identify the provider categories a case may require, not as a signal that a specific provider should be engaged.

In many cases, the main value of the directory is not the names themselves, but the discipline of asking:

- Which functions must be covered?
- Which functions can be combined?
- Which functions must remain regulated or jurisdiction-specific?
- Which dependencies create concentration risk or vendor-capture risk?
- Which parts of the stack are critical before launch, and which can wait?

B2. Typical provider categories

Depending on the case, a tokenization project may require some or all of the following partner categories:

- legal & regulatory advisers
- tax advisers
- issuance / tokenization platform
- smart-contract / token engineering support
- custody / wallet infrastructure
- transfer agent / registry administration
- fund administration or SPV administration
- trading venue / ATS / MTF / exchange partner
- transfer or liquidity-support provider, only where explicitly required and legally permitted
- KYC / AML / onboarding provider
- payment / settlement / banking partner
- audit / assurance / cybersecurity reviewers
- valuation, data, or oracle-related providers
- distribution / placement / investor onboarding partners
- systems integration / workflow automation support

B3. Illustrative provider examples

The examples below are illustrative only and are grouped by function. They are not recommendations, rankings, or evidence of suitability for this case.

B3.1 Legal & regulatory advisers

These advisers help determine whether the proposed structure is legally enforceable, properly classified, and consistent with the intended issuance, distribution, transfer, custody, and disclosure model.

Typical use cases:

- wrapper design
- securities-law classification

- cross-border marketing analysis
- transfer restriction design
- offering documentation
- legal opinions and regulatory scoping

Illustrative examples:

- CMS
- Cooley
- FIN LAW
- MME
- NÄGELE

B3.2 Issuing platforms

These providers typically support issuance workflows, lifecycle management, permissions, investor access rules, and parts of the reporting or compliance stack.

Typical use cases:

- token issuance
- lifecycle events
- permissions / whitelisting
- cap-table or investor-position management
- compliance rule integration
- reporting workflows

Illustrative examples:

- Aktionariat
- Polymesh (Polymath)
- Realiz Group
- Securitize
- Token City
- Tokeny

B3.3 Custody, trading & settlement

These providers support safekeeping, wallet infrastructure, execution, venue access, settlement, and post-trade operations.

Typical use cases:

- institutional custody
- secure wallet infrastructure
- settlement support
- exchange / venue access
- post-trade servicing
- collateral mobility or transfer control support

Illustrative examples:

- ADDX
- Anchorage Digital
- Archax
- BitGo
- Coinbase Institutional

- Copper
- Ondo Finance
- SIX Digital Exchange (SDX)
- Sygnum Bank
- Taurus

B4. Practical selection principles

When evaluating providers, the reader should typically assess:

- jurisdictional fit
- regulatory status where relevant
- experience with the relevant asset class
- operating-model compatibility
- integration burden
- exit options / portability
- fee model
- service resilience
- auditability and evidence quality
- concentration risk

Where possible, provider choices should reinforce the case logic rather than undermine it. A weak provider stack can easily erode the value thesis of an otherwise promising structure.

B5. Important caution

The right provider stack is highly case-dependent.

A provider that is suitable for a closed institutional collateral workflow may be a poor fit for a cross-border fund wrapper. A provider that is strong in digital-asset custody may not be the right choice for transfer administration or legal structuring. A venue that looks attractive commercially may create regulatory or operating-model problems if the case does not actually need that level of transferability.

Appendix D — Glossary & abbreviations

A practical reference for the most common terms and abbreviations used in this report. Spelling note: tokenization uses “z”.

Term	Meaning
Added Value (AV)	TVAC’s net assessment of whether tokenization appears to improve a case overall once both upside and friction are weighed together. Formula: $AV = (NO + CS + RR) - (TC + NR)$.
AML	Anti-Money Laundering controls intended to detect, prevent, and report suspicious financial activity.
Asset owner / Issuer	The originating party, sponsor, manager, or issuing structure responsible for launching or sponsoring the tokenized case being assessed.
ATS	Alternative Trading System. A regulated trading venue category used in some jurisdictions, particularly the United States.
Cash leg	The cash side of a transaction or settlement flow, as distinct from the asset or token side.
Conditional Go	A Tokenization Value Verdict indicating that tokenization may add net value, but remains materially dependent on design discipline, implementation choices, and resolution of key gating conditions.
Custody	The safeguarding, control, and recordkeeping of assets or positions on behalf of investors or market participants.
DeFi	Decentralized Finance. A blockchain-based ecosystem of protocols and applications designed to enable financial activity without relying entirely on traditional centralized intermediaries.
DEX	Decentralized Exchange.
Distribution scope	The intended investor reach of an offering or tokenized structure, including geography, investor type, and access conditions.
DvP	Delivery versus Payment. A settlement model in which transfer of the asset and transfer of payment are linked so that one does not occur without the other.
Economic rights	The financial entitlements attached to a token or instrument, such as income participation, coupon, principal repayment, or profit-sharing.
Execution risk	The risk that a concept that appears viable in theory fails in practice because implementation, coordination, economics, or governance proves weaker than assumed.
Governance	The decision-making, control, accountability, and escalation framework surrounding a structure, platform, issuer, or operating model.
Investor segmentation	The way the target investor base is defined and limited by investor type, sophistication, jurisdiction, or eligibility criteria.
MiCA	Markets in Crypto-Assets Regulation in the European Union.
MiFID II	Markets in Financial Instruments Directive II in the European Union.
Net Added Value	See Added Value (AV).
New Opportunities (NO)	Case-specific upside that tokenization creates or materially strengthens, such as new investor reach, new operational utility, collateral use, programmability, or improved strategic flexibility.

Term	Meaning
New Risks (NR)	Additional risks introduced by tokenization, including legal, regulatory, operational, technological, governance, distribution, or market-structure risks.
NO / CS / RR / TC / NR	Shorthand for TVAC's five factors: New Opportunities, Cost Savings, Risk Reduction, Tokenization Costs, and New Risks.
Non-viable	A Tokenization Value Verdict indicating that the current structure does not support a positive tokenization value case under the TVAC methodology and should not proceed without substantial redesign.
On-chain settlement	A settlement process in which the relevant transfer logic is executed on a blockchain or distributed ledger environment.
Prospectus	A formal disclosure document that may be required for certain public offerings or investor solicitations under applicable law.
Registry	The official or operational record of holdings, ownership, or investor positions.
Retail investor	A non-professional investor who generally receives higher levels of regulatory protection than professional or institutional investors.
Rights mapping	The process of making clear what legal, economic, governance, and transfer rights a token actually represents and how those rights are enforceable.
Risk Reduction (RR)	The extent to which tokenization reduces existing risk in the conventional setup, for example through better controls, improved transparency, clearer auditability, or lower reconciliation burden.
SEC	Securities and Exchange Commission in the United States.
Self-custody	A model in which the end holder directly controls the relevant wallet, keys, or token position without relying on a traditional third-party custodian.
Settlement model	The way asset transfer, cash transfer, record updates, and finality are operationally achieved.
SPV	Special Purpose Vehicle. A ring-fenced legal entity often used for issuance, structuring, asset isolation, or liability segregation.
Tokenization Costs (TC)	The additional costs introduced by tokenization, including structuring, legal work, compliance, integration, platform costs, governance overhead, servicing changes, and operating complexity.
Transfer controls	Rules, permissions, and technical or legal mechanisms governing who may transfer, receive, or hold the token.
Transfer restrictions	Specific limitations placed on secondary transfers, often for regulatory, contractual, or investor-eligibility reasons.
TVAC	Tokenization Value-Add Calculator. A structured decision-support methodology for assessing whether tokenization appears to create net added value in a specific case.
Vendor-capture risk	The risk that a structure becomes economically or operationally overly dependent on one platform, provider, or implementation path in a way that shifts value away from the initiating party.
Venue fit	The degree to which the chosen issuance, transfer, trading, or liquidity venue matches the asset, investor scope, regulatory posture, and operating model of the case.

Term	Meaning
Viable	A Tokenization Value Verdict indicating that the TVAC methodology identifies a positive tokenization value case under the described structure, subject to validation and disciplined execution. It is not an investment, credit, yield, valuation, legal, tax, or suitability assessment.
Whitelist / Whitelisting	A mechanism for restricting participation or transferability to pre-approved investors, wallets, counterparties, or participants.

Appendix E — User-supplied case inputs

E.1 Full verbatim case description

Full original free-text case input provided by the user.

We plan to acquire a portfolio of fine art pieces and offer fractional ownership to a global retail audience through NFTs. Marketing would be conducted via social media campaigns, and participation would be open to anyone able to connect a self-custody wallet.

The legal structure is not fully defined. Tokens may represent a mixture of contractual claims, informal profit-sharing promises, and membership rights tied to an offshore holding entity. We do not intend to publish a prospectus or formal disclosure document and prefer minimal onboarding friction.

Tokens would trade continuously on decentralized exchanges with atomic on-chain settlement. Transfers would not be restricted by jurisdiction, and investors would self-custody their tokens.

The business thesis relies on global retail demand, social momentum, and perceived liquidity from DEX trading. However, significant risks include unclear investor protection, cross-border securities law exposure, valuation disputes, provenance challenges, market manipulation, and regulatory enforcement uncertainty. The economic and legal alignment between token holders and the underlying artwork ownership remains structurally ambiguous.

E.2 Structured input record

This record reproduces the structured inputs supplied for this assessment. For dropdowns and checkboxes, it also shows the alternatives that were available but not selected.

Field	User response	Other available options not selected
Issuance jurisdiction	Cayman Islands	Not applicable
Sale jurisdictions (comma-separated)	United States, United Kingdom, EU, Singapore	Not applicable
Instrument type	Sole-record / native tokenized security	Digital wrapper (CSD/TA/registrar)
Custody model	Self-custody (wallets)	Regulated custodian; Transfer agent / CSD
Secondary-market liquidity	Continuous	None; Ad-hoc OTC; Quarterly windows
Secondary-market venue	DEX (permissioned)	ATS / MTF; OTC; CSD / TA-registered
Payment / cash-leg model	Advanced: T+0 / atomic DvP	Not decided yet; Not material at this stage; Traditional bank / fiat payments; Custodian / bank / TA / CSD settlement; Stablecoin / tokenized cash; Deposit token / tokenized deposit / institutional DvP rail; T+1/T+2 securities settlement; Advanced: off-chain booking
Offering disclosure	Not specified	KID (PRIIPs); Prospectus; Exempt / limited-offering route (jurisdiction-dependent)
Transfer restrictions	None	Not applicable
Tax considerations (optional)	Unclear cross-border tax treatment	Not applicable
Investor types	Retail	Professional; Qualified / accredited (jurisdiction-dependent)

An option shown as not selected was not necessarily actively considered or rejected by the user; it was simply not selected for this assessment.

Scenario comparison: Alternative options shown here can help identify design variables worth testing in a new assessment or in TVAC Scenario Lab—for example a different custody model, settlement model, participant type or transfer setup.

Appendix F — Disclaimer

Disclaimer

This report is provided for informational and decision-support purposes only. It does not constitute legal, regulatory, tax, accounting, investment, valuation, or financial advice, and it should not be relied upon as a substitute for professional advice tailored to the specific facts and circumstances of the case.

TVAC is a structured assessment tool designed to evaluate whether and when tokenization may create added value relative to conventional alternatives. Its outputs reflect a methodology-based analytical framework operating under uncertainty. They are not guarantees of commercial success, feasibility, investor demand, regulatory approval, liquidity, execution quality, budget outcome, or risk reduction.

Any scores, verdicts, scenarios, stakeholder assessments, suggested actions, implementation observations, and roadmap elements in this report are indicative only and depend on the quality, completeness, and interpretation of the input data, as well as on assumptions about structure, jurisdiction, service-provider readiness, market conditions, execution capability, and timing.

Tokenization outcomes can differ materially from this assessment if key conditions change, including legal structuring, investor scope, jurisdiction count, custody model, distribution pathway, settlement design, governance arrangements, servicing readiness, technology integration, cost allocation, evidence quality, or liquidity support.

A TVAC verdict is a tokenization added-value verdict only. It must not be presented or used as investment approval, credit rating, yield validation, issuer endorsement, regulatory approval, due diligence report, or investor recommendation. TVAC does not validate projected returns, coupon payments, credit quality, valuations, legal enforceability, tax treatment, or investor suitability.

This report does not replace formal legal analysis, regulatory review, tax analysis, technical architecture review, cybersecurity review, accounting assessment, operational diligence, commercial validation, or board-level decision processes. Independent advice should always be obtained before any structuring, issuance, distribution, investment, operational, or implementation decision is made.

Neither TVAC nor Astoval assumes responsibility for actions taken on the basis of this report alone. Users remain solely responsible for all commercial, legal, regulatory, operational, and strategic decisions related to any proposed tokenization initiative.



Tokenization Value-Add Calculator

A PRODUCT BY ASTOVAL

Astoval provides independent, AI-enhanced early-stage decision support for asset tokenization, helping organizations assess whether tokenization creates genuine added value before significant resources are committed to legal structuring, platform selection or implementation.

PRIVACY AND DATA

Case inputs and generated reports are processed for delivery and are not intentionally retained as a persistent customer-case record in the standard self-service flow. OpenAI API data is not used for model training unless the API customer opts in; separate abuse-monitoring retention may apply for up to 30 days.

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